**EXECUTION VERSION**

**DATED 5 MARCH 2025**

**Halcyon Photonics Limited**

— and —

**THE FOUNDERS named in Schedule 1**

— and —

**THE INVESTORS named in Schedule 2**

# SUBSCRIPTION AND SHAREHOLDERS' AGREEMENT

*relating to the Series B financing of Halcyon Photonics Limited*

**Whitfield Carter LLP**

# THIS AGREEMENT is made on 5 March 2025

**PARTIES**

1. Halcyon Photonics Limited, a company incorporated in England and Wales with registered number 11842037 whose registered office is at Unit 7, Granta Park, Great Abington, Cambridge CB21 6GP (the "Company");

2. the persons named in Schedule 1 (the "Founders"); and

3. the persons named in Schedule 2 (the "Investors").

## BACKGROUND

4. The Company designs and manufactures silicon-photonics optical-interconnect components and modules for data-centre and telecommunications applications.

5. The Investors have agreed to subscribe for, and the Company has agreed to allot and issue, 1,500,000 Series B Preferred Shares at the Issue Price of £12 each, raising £18,000,000 in aggregate.

## 1. DEFINITIONS AND INTERPRETATION

1.1 "Issue Price" means £12 per Series B Share; "Completion" means completion under clause 3; "Disclosure Letter" means the letter of even date qualifying the Warranties; "Investor Majority" means Investors holding more than 50% of the Series B Shares including the Lead Investor for so long as it holds at least half of its Completion shareholding; other defined terms have the meaning given in the Articles.

5.1 The schedules form part of this Agreement; headings do not affect interpretation; a reference to a statute includes subordinate legislation made under it.

## 2. SUBSCRIPTION FOR SERIES B SHARES

5.2 Each Investor agrees to subscribe for the number of Series B Shares set opposite its name in Schedule 2 at the Issue Price, and the Company agrees to allot and issue those shares with effect from Completion free from encumbrances.

5.3 Completion is conditional on adoption of the Articles, the board and shareholder resolutions, delivery of the Disclosure Letter and execution of the Investors' Rights Agreement.

5.4 The Series B Shares carry a liquidation preference of 1.0x non-participating, a dividend of 8% per annum, non-cumulative, and broad-based weighted average anti-dilution, in each case as set out in the Articles.

## 3. COMPLETION

5.5 Completion took place at the offices of Whitfield Carter LLP (and remotely) on 5 March 2025.

5.6 At Completion the Company allotted the Series B Shares, entered the Investors in the register of members, delivered share certificates and certified copies of the resolutions and adopted Articles, and each Investor paid its Subscription Amount in cleared funds.

5.7 The Company shall make all Companies House filings (including form SH01 and the amended Articles) within the statutory time limits.

## 4. USE OF PROCEEDS

5.8 The Company shall apply the proceeds in accordance with the board-approved budget, principally towards its 1.6T optical-engine product line, wafer-test capacity and working capital.

## 5. INVESTOR CONSENT MATTERS

5.1 The Company shall not, without the prior written consent of an Investor Majority:

- alter its share capital or the rights attaching to any shares, or amend the Articles;
- issue any shares, options or other securities save under the option pool;
- borrow money, or grant any security or guarantee, in excess of £350,000 in aggregate other than ordinary-course trade credit;
- enter into any transaction with a connected person otherwise than on arm's-length terms;
- sell a material part of the business, or effect a listing, merger or reconstruction;
- approve or materially depart from the annual budget, or change its auditors or accounting reference date;
- appoint or remove a director other than in accordance with this Agreement; or
- commence or settle material litigation with a value in excess of £250,000.

## 6. BOARD AND INFORMATION RIGHTS

5.9 The board comprises no more than five directors. The Lead Investor may appoint and remove one (1) Investor Director appointed by the Lead Investor for so long as it and its affiliates hold not less than 5% of the equity.

5.10 The Company shall supply to each Investor holding at least 1% of the equity: monthly management accounts within 15 Business Days of month end; an annual budget at least 30 days before the start of each financial year; and audited accounts within four months of the year end.

## 7. OPTION POOL

5.11 The Company shall maintain an option pool equal to 12.5% of its fully-diluted post-Completion share capital, created pre-money.

## 8. WARRANTIES

5.12 The Company and (in respect of the Founder Warranties only) each Founder warrants that each Warranty in Schedule 4 is true and accurate at the date of this Agreement, save as fairly disclosed in the Disclosure Letter.

5.13 The liability of the Company and the Founders for breach of Warranty is subject to the limitations in Schedule 5.

## 9. FOUNDER UNDERTAKINGS AND RESTRICTIVE COVENANTS

5.14 Each Founder undertakes that, while a shareholder and for 12 months afterwards, that Founder shall not compete with the Company, solicit its customers or suppliers, or solicit or employ its senior employees, in each case save with Investor Majority consent. Founder shares are subject to the reverse-vesting and leaver provisions in the Articles.

## 10. CONFIDENTIALITY AND ANNOUNCEMENTS

5.15 Each Party shall keep the terms confidential save as required by law or to professional advisers (and, for an Investor, its limited partners). No announcement may be made without the consent of the Company and the Lead Investor.

## 11. GENERAL

5.16 Notices in writing; entire agreement (save for fraud); no assignment save by an Investor to an affiliate or permitted transferee; variation only in writing signed by the Company and an Investor Majority; no third-party rights save as expressly provided; counterparts.

5.17 This Agreement is governed by the laws of England and Wales and the Parties submit to the exclusive jurisdiction of the courts of England and Wales.

# EXECUTION PAGE

**IN WITNESS of which this Agreement has been duly executed and delivered on the date first stated above.**

EXECUTED for and on behalf of Halcyon Photonics Limited

by Dr Anita Roy, Chief Executive Officer: /s/ Anita Roy

EXECUTED by the Founder Dr Anita Roy: /s/ Anita Roy

EXECUTED by the Founder Dr Theo Eriksson: /s/ Theo Eriksson

EXECUTED for and on behalf of Brindley Growth Partners LLP

by Eleanor Brindley, Managing Partner: /s/ Eleanor Brindley

EXECUTED for and on behalf of Aldridge Seed LP: /s/ for Aldridge Seed LP

## SCHEDULE 1 — THE FOUNDERS

| Founder | Ordinary Shares held |
|---|---|
| Dr Anita Roy | 2,400,000 |
| Dr Theo Eriksson | 1,600,000 |

## SCHEDULE 2 — THE INVESTORS

| Investor | Series B Shares | Subscription Amount |
|---|---|---|
| Brindley Growth Partners LLP | 1,166,667 | £14,000,000 |
| Aldridge Seed LP | 250,000 | £3,000,000 |
| Co-investors (Schedule 2A) | 83,333 | £1,000,000 |
| Total | 1,500,000 | £18,000,000 |

## SCHEDULE 4 — WARRANTIES (summary)

Capacity and authority; share capital; accounts (year ended 31 December 2024 true and fair); position since the accounts date; intellectual property (including the low-loss optical coupler patent family); material contracts; litigation; compliance (data protection, anti-bribery, export control); employees; tax; assets and solvency; and the Founder Warranties, in each case as set out in full in the agreed form.

## SCHEDULE 5 — LIMITATIONS ON LIABILITY

5.18 The aggregate liability of the Company and the Founders for breach of the Warranties shall not exceed the aggregate Subscription Amounts received (the "Cap").

5.19 No claim may be brought unless the aggregate of all claims exceeds £150,000 (in which case the whole amount is recoverable), and no single claim of less than £15,000 counts towards that threshold.

5.20 No claim may be brought after the date falling 18 months after Completion, save for the title and capacity Warranties (no time limit) and the tax Warranties (seventh anniversary of Completion).

5.21 Nothing in this Schedule limits liability for fraud.